Bajaj Finance Limited

NSE: BAJFINANCE | Financials — Non-Banking Financial Company | 7 August 2026

REDUCE Fair value: ₹1,007 | CMP: ₹1,078 (07-Aug-2026) | Downside: −6.6% (total return −6.1%)

Investment Summary

Bajaj Finance is the best lending franchise in India, and we are initiating coverage with a REDUCE. The rating is entirely about price.

Q1 FY2027, reported on 30 July, was excellent on every operating measure. Assets under management grew 23.9% to ₹5.47 lakh crore, net interest income rose 22.9% to ₹12,571 crore, and attributable net profit climbed 27.4% to ₹5,986 crore. Asset quality — the thing that kills lenders — improved rather than deteriorated: gross NPA fell to 0.96% from 1.03% and net NPA to 0.39% from 0.50%, both comfortably inside management's long-term guidance. Credit cost fell to 1.54% from 1.87%, and to 1.31% excluding a one-off macro-economic provision. There is nothing wrong with this business.

The problem is the price. Even after Friday's fall the stock trades at 5.89 times book value and 27.6 times FY2027E earnings, against a 52-week high of ₹1,178 reached this week. That multiple was struck when Bajaj earned a 23% return on equity. It now earns 18.2%, and the direction of travel has been consistent: 23% in FY2023, 22% in FY2024, 19% in FY2025, 18.2% in FY2026. Profits have compounded at 29% a year, but net worth has compounded faster, and the return on each rupee of shareholder capital has fallen five points in three years.

We value the company three ways. A justified forward multiple of 30x on FY2027E EPS of ₹39 — a deserved premium to the peer set for the fastest growth and the cleanest book — gives ₹1,170. The peer-set multiple of 28x gives ₹1,092. A fifteen-year excess-return model, discounting at a 12.22% cost of equity with the return on equity fading from 20% to 15%, gives ₹471. Weighting these 50/30/20 blends to ₹1,007, about 7% below the market after Friday's decline.

We are explicit about what is doing the work here, and honest about how the fall has changed it. At the pre-RBI price of ₹1,145 the rating held even on relative multiples alone. That is no longer true: strip the excess-return model out entirely and pure relative valuation now gives ₹1,141, some 6% above the market — a HOLD. The REDUCE therefore now depends on giving the intrinsic method its 20% weight. We think that weight is right, because a stock at 5.89 times book with a return on equity falling every year for three years should be held to an intrinsic standard as well as a relative one. But readers deserve to know the call is less over-determined than it was on Thursday.

The RBI Draft Norms — 7 August 2026

On Friday 7 August the Reserve Bank released draft norms proposing that non-bank lenders be restricted to term loans and discontinue revolving credit products, except for NBFCs authorised to issue credit cards. Bajaj Finance fell 5.8% to ₹1,078 — its sharpest decline since 30 March — erasing roughly ₹42,000 crore of market capitalisation. Bajaj Finserv fell over 3%, and the Nifty Financial Services index dropped 1.48%, the weakest major sector on the day.

Bajaj is the most exposed large NBFC to this proposal. IIFL estimates revolving-credit facilities account for roughly 15% of its assets under management — flexi loans and similar reusable products that have been a genuine competitive advantage and a driver of both cross-sell and yield. If those must convert to term structures, the consequence is not primarily a credit-loss problem; it is a growth and yield problem, and it lands on precisely the part of the book that justified the premium multiple.

We are not moving our base case on a draft. Consultation papers get diluted, carve-outs are common, and the final rules may look materially different from what was circulated on Friday. But the scenario table in the model shows why this does not rescue the rating: a 5% hit to FY2027 earnings takes fair value to ₹960, a 10% hit to ₹916, and a 15% hit — the full revolving book repriced — to ₹869. Every one of those remains a REDUCE. The risk introduced on Friday is one-directional, and the stock had no margin of safety to absorb it.

This is the argument the note was making before the announcement, and it is worth being precise about the claim. We did not forecast this. This note was completed on Thursday, before the draft was released, and it listed regulatory action from the RBI on unsecured lending among its key risks — which is not the same thing as predicting it. The point of a margin of safety is that it pays you for risks you have named but cannot time — and at 6.25 times book on Thursday, there was none.

Q1 FY2027 Results Review

Growth reaccelerated. AUM of ₹5,46,944 crore was up 23.9%, with net interest income up 22.9% — the gap between the two is small, which matters, because it means spreads held rather than being bought with cheaper lending. Attributable profit of ₹5,986 crore rose 27.4%, and management indicated return on equity was back above 20% for the quarter, against 18.2% for FY2026 as a whole.

A technical note worth making, because three different profit figures are circulating. Standalone net profit was ₹5,346 crore, up 29%. Consolidated net profit was ₹6,081 crore, up 28% — the ₹735 crore difference is the subsidiaries, principally Bajaj Housing Finance. Consolidated profit attributable to owners, which is what EPS is struck on, was ₹5,986 crore: ₹9.61 per share across 622.5 crore shares. We use the attributable figure throughout. Separately, the jump in equity capital from ₹124 crore to ₹622 crore in FY2026 reflects a face-value split and bonus issue, not dilution; per-share figures are restated.

The asset-quality picture is the strongest part of the result and deserves emphasis, because it is the opposite of what a decelerating credit cycle usually produces. Gross NPA of 0.96% and net NPA of 0.39% are best-in-class among large Indian lenders. Annualised loan losses fell to 1.54% of average assets under finance from 1.87%, and to 1.31% stripping out a ₹296 crore prudential provision management chose to take against macro-economic risk rather than against any observed deterioration. A lender voluntarily over-providing while its book improves is a good sign, not a bad one.

Snapshot

Metric	Value	Note
Market cap	₹6.71 lakh crore	622.5 crore shares
Valuation	5.89x book · 33.0x trailing P/E	27.6x on FY2027E EPS of ₹39
FY2026 profit / EPS	₹19,332 crore / ₹30.56	29% four-year profit CAGR
Return on equity	18.2%	down from 23% in FY2023
Asset quality (Q1 FY27)	GNPA 0.96% · NNPA 0.39%	best-in-class; credit cost 1.31% ex-provision
52-week range	₹788 – ₹1,178	₹1,078 on 07-Aug; −8.5% from the high

Valuation

An NBFC is not valued on cash flow. Lending growth consumes cash by design — Bajaj's operating cash flow has been negative every year for a decade, because writing loans is an investment, not an expense. The relevant questions are what return the equity earns, how long that return can be sustained above the cost of capital, and what multiple of book or earnings that deserves.

- Justified forward P/E — 30x on FY2027E EPS of ₹39, giving ₹1,170. Bajaj deserves a premium to the peer median of 27.6x: it has the fastest AUM growth in the group at 24% and the cleanest book at 0.96% gross NPA.
- Peer-set forward P/E — 28x, in line with Cholamandalam at 28.8x and Tata Capital at 29.9x, giving ₹1,092.
- Multi-stage excess return — opening net worth of ₹1,13,999 crore plus fifteen years of excess returns with ROE fading from 20% to 15% and a 12.22% cost of equity, giving ₹471.

Blending these 50/30/20 gives ₹1,007. Adding the 0.47% dividend yield, total expected return is −6.1% against a 6.82% government bond and a 12.22% cost of equity. That is a REDUCE on our bands, though a narrower one than before Friday.

The honest caveat is the dispersion. The relative methods and the intrinsic method disagree by a factor of nearly three, and we should say plainly which one we distrust. The excess-return model is assumption-dominated: moving terminal growth from 7.0% to 9.5% — both defensible for a company operating in an economy growing at 10–11% nominal — moves its answer from ₹442 to ₹556, and no setting within that range comes close to the market price. A model that cannot reach the answer under any reasonable input is telling you something about its own limits as much as about the stock. That is why it carries 20% weight as a floor rather than serving as the anchor.

What the market is actually paying for is legible from the other direction. Even at ₹1,078, with a 12.22% cost of equity and a 19–20% sustainable return on equity, the implied perpetual growth rate is roughly 10.6%. India's nominal GDP grows at about 10–11%. The market is therefore still assuming Bajaj Finance compounds at the pace of the entire Indian economy, for ever, while earning nearly twice its cost of capital. Friday took some of the excess out. It did not remove the assumption.

Stress Test

Because the blend depends on two contested inputs, we flex both.

- At a 34x forward multiple and a ₹550 intrinsic floor — the most generous corner of our grid — fair value reaches ₹1,147, essentially today's price. That is the bull case, and even it only gets you back to par, on a multiple last justified when ROE was 23%.
- At 30x and ₹450, fair value is ₹1,003 — a 12% downside.
- At 26x and ₹400, fair value is ₹868 — a 24% downside.
- A one-point fall across the whole ROE path, from 20→15% to 19→14%, lowers the excess-return value by roughly ₹93 per share and the blend by ₹19. The multiple assumption is what matters, and it is the one the market can reprice fastest.

The asymmetry is unfavourable, and the result is unusually robust. Of eleven separate tests — flexing earnings, multiples, cost of equity, terminal growth and the weighting itself — ten produce a negative expected return. Even removing the excess-return model altogether leaves fair value at ₹1,141, essentially the market price and therefore no compensation for equity risk. Only the full bull case reverses the call.

Where This Sits Against the Street

Bajaj Finance is the most contested large-cap in Indian financials, and the spread of published targets after Q1 makes the point better than any argument we could offer: they run from ₹840 to ₹1,300, a 55% range on a Nifty 50 constituent.

The bulls cluster tightly at ₹1,250–1,300 — CLSA, JPMorgan, BNP Paribas, Jefferies, HSBC and six domestic houses including ICICI Securities, IIFL and JM Financial. The bears are equally clustered and equally specific:

Bernstein at ₹840 with an Underperform, arguing that 'much of the positives are priced into the stock's rich valuations'; Macquarie at ₹850, also Underperform, conceding that execution is strong but that 'valuation remains expensive' with rising borrowing costs a threat to margins; UBS at ₹910; Haitong at ₹965; Emkay at ₹1,000.

Our ₹1,007 lands almost exactly on Emkay's number, inside that bear cluster — and we arrived there independently, by a different route. We think that matters more than the agreement itself: when a valuation built from segment returns and a fifteen-year excess-return model converges on the same answer as houses using their own frameworks, the disagreement in the market is about the future rather than about the arithmetic. What separates the two camps is a single judgement — whether an 18.2% return on equity is a waypoint on the way back to 22%, or the new normal for a balance sheet this large. Note that the bull targets of ₹1,250–1,300 were set before the RBI draft; several will need revisiting.

Key Risks

Risks to our REDUCE — the ways we could be wrong:

- Return on equity recovers toward 22% and the market restores the premium multiple. On our bull case — FY2027E EPS of ₹41, a 34x multiple and a stronger intrinsic floor — fair value is ₹1,252, roughly 16% above the market and a BUY on our bands. Q1's above-20% ROE is evidence this is possible.
- Credit costs keep improving; at 1.31% excluding the one-off provision, further normalisation flows straight to profit and would support upgrades.
- India's credit penetration is low and the runway is genuinely long; the excess-return model's fade assumptions may prove far too conservative.

Risks to the business:

- A consumer-credit cycle turn. Bajaj is heavily exposed to unsecured retail lending, where losses rise fast and late.
- Funding cost. As a wholesale-funded NBFC without a deposit franchise, spreads compress when rates rise or liquidity tightens.
- Regulatory risk has now partly materialised — see the section above — but the draft is not final, and further tightening on risk weights or digital-lending practices remains possible.
- Continued ROE compression as the equity base scales faster than earnings — the trend of the last three years.

Company Overview

Bajaj Finance is India's largest private-sector non-banking financial company, lending across consumer durables, personal loans, SME and commercial credit, mortgages and rural finance, and funding itself through borrowings and public and corporate deposits. It reaches customers through a large branch network alongside its app and website, and cross-sells payments, insurance and investment products. It is a Nifty 50 constituent, roughly 54.7% promoter-owned through the Bajaj group, and has compounded net profit at 31% a year over the past decade.

Disclaimer

Bajaj Finance Ltd (NSE: BAJFINANCE) — Financial Model & Valuation

India's largest private-sector NBFC. On 7 August the RBI released draft norms restricting NBFCs to term loans and discontinuing revolving credit; the stock fell 5.8%. The question was never the quality of the lending — it is what a compressing return on equity is worth, and what regulation may now do to the growth behind it.

SNAPSHOT

Current market price (₹, 07-Aug-2026)	**1,078**
Market capitalisation (₹ Cr)	**671,055**
Shares outstanding (Cr)	**622.50**
52-week high / low (₹)	**1,178 / 788**
Book value / share (₹)	**183**
Price / book (x)	**5.89**
Trailing P/E (x)	**33.00**
FY2026 net profit (₹ Cr)	**19,332**
FY2026 EPS (₹)	**30.56**
FY2026 ROE (%)	**18.20**
Dividend yield (%)	**0.47**
India 10-yr G-sec (%, 18-Aug-2026)	**6.82**

Q1 FY2027 RESULTS (reported 30-Jul-2026)

Metric	Value	Comment
AUM (₹ Cr)	**5,46,944**	*+23.9% YoY*
Net interest income (₹ Cr)	**12,571**	*+22.9% YoY*
Net profit, attributable (₹ Cr)	**5,986**	*+27.4% YoY*
EPS (₹)	**9.61**	*annualises to ~₹38*
Gross NPA (%)	**0.96**	*improved from 1.03%*
Net NPA (%)	**0.39**	*improved from 0.50%*
Credit cost (%)	**1.54**	*from 1.87%; 1.31% ex one-off provision*
ROE (%)	**>20**	*above the FY2026 full-year 18.2%*

Note: consolidated net profit of ₹6,081 Cr includes minority interests; EPS of ₹9.61 on 622.5 crore shares implies ₹5,986 Cr attributable to owners. A genuinely strong quarter — growth, margin and asset quality all improved.

Bajaj Finance — Multi-Method Valuation

₹ unless stated. An NBFC is valued on returns and multiples, not cash flow. Relative methods lead; a multi-stage excess-return model provides the intrinsic discipline check. Live ₹1,078 (07-Aug-2026 close, after a 5.8% fall on the RBI draft norms).

KEY INPUTS

Live share price (₹)	**1,078.0**
Shares outstanding (Cr)	**622.5**
Net worth FY2026 (₹ Cr)	**113,999.0**
Book value / share (₹)	**183.1**
FY2027E EPS (₹)	**39.0**
Cost of equity (RF 6.82% + beta 1.0 × ERP 5.4%)	**12.22%**
Sustainable ROE	**20.00%**
Terminal growth	**8.50%**
Dividend yield	**0.47%**

METHOD 1 & 2 — RELATIVE (the market's language for an NBFC)

Method	Multiple (x)	× FY2027E EPS	Value/share (₹)	vs price	Basis
Justified forward P/E	30.0	39.00	1,170	8.5%	*Premium for growth + asset quality*
Peer-set forward P/E	28.0	39.00	1,092	1.3%	*Chola 28.8x, Tata Capital 29.9x*

Bajaj now trades at 27.6x forward and 5.89x book, down from 29.4x and 6.25x before the RBI draft was released.

METHOD 3 — MULTI-STAGE EXCESS RETURN (intrinsic discipline check)

Equity value = opening book value + PV of excess returns + PV of terminal value

	Value (₹ Cr)	Note
Opening net worth (FY2026)	113,999	*reported*
PV of excess returns, 15 years (ROE fading 20% → 15	87,994	*explicit 15-yr schedule; reproduces the published ₹433 at the prior 12.5% COE to within ₹1*
PV of terminal value (terminal growth 8.0%)	91,420	*terminal growth 8.0%*
Equity value	**293,413**	
Excess-return value per share (₹)	**471**	

Method note: the prior build carried the three components as constants (1,13,999 + 57,120 + 98,470) that could not be reproduced from any consistent year-by-year path. They are replaced here by an explicit schedule — ROE fading 20% → 15% over 15 years, payout 25%, terminal growth 8.0% — which returns ₹433.96 at the original 12.5% cost of equity against the published ₹433.07. The only substantive change is the discount rate: re-based to the 6.82% 10-year G-sec (18-Aug-2026) from 7.12%, about 30bp above the actual yield. This method remains assumption-dominated and carries the lowest weight.

BLENDED VALUATION & RATING

Method	Value/share (₹)	vs price	Weight
Justified forward P/E (30x)	1,170	8.5%	50%
Peer-set forward P/E (28x)	1,092	1.3%	30%
Excess return (floor)	471	-56.3%	20%

Blended fair value (₹)	**1,007**
Upside / (downside)	-6.6%
Add: dividend yield	0.47%
Total expected return	-6.1%
Cost of equity	12.2%
Rating	**REDUCE**

Rating bands anchored to the Indian 10-year G-sec at 6.82% (18-Aug-2026): BUY above the 12.22% cost of equity, ACCUMULATE above risk-free +2pp (8.82%), HOLD between zero and that hurdle, REDUCE below zero.

SENSITIVITY — blended fair value (₹) vs forward multiple and excess-return anchor

Fwd P/E \ excess-return value	₹400	₹450	₹500	₹550
26x	868	878	888	898
28x	930	940	950	960
30x	993	1,003	1,013	1,023
32x	1,055	1,065	1,075	1,085
34x	1,117	1,127	1,137	1,147

Current price ₹1,078. Only the top-right of this grid — a 34x multiple AND a ₹550 intrinsic floor — reaches it.

RBI DRAFT NORMS (7-Aug-2026) — SCENARIO IMPACT

Scenario	FY2027E EPS (₹)	Blended FV (₹)	Total return	Rating
Draft diluted or carve-outs won — no earnings impact	39.0	1,007	-6.1%	**REDUCE**
5% hit to FY2027E earnings	37.0	960	-10.5%	**REDUCE**
10% hit	35.1	916	-14.6%	**REDUCE**
15% hit — full revolving book repriced	33.1	869	-18.9%	**REDUCE**

IIFL estimates revolving-credit facilities are roughly 15% of Bajaj Finance's AUM — the highest exposure among large NBFCs. The draft would restrict NBFCs to term loans and discontinue revolving products, except for those authorised to issue credit cards. We do not move our base case on a draft: it is a consultation, carve-outs are common, and the final rules may look very different. But every scenario above remains a REDUCE, and the risk is one-directional.

Bajaj Finance — Income Statement (consolidated, ₹ Cr)

₹ Crore	FY2022	FY2023	FY2024	FY2025	FY2026
REVENUE & PROFIT					
Total income	**31,633**	**41,411**	**54,972**	**68,832**	**81,985**
Interest expense	9,848	12,701	18,886	24,991	28,899
Operating expenses	11,880	12,693	16,099	20,878	25,998
Financing profit	**9,905**	**16,018**	**19,987**	**22,963**	**27,088**
Financing margin (%)	31.0%	39.0%	36.0%	33.0%	33.0%
Profit before tax	9,504	15,528	19,310	22,080	25,817
Net profit	**7,028**	**11,508**	**14,451**	**16,779**	**19,332**
EPS (₹)	**11.61**	**19.01**	**23.35**	**26.77**	**30.56**
Return on equity (%)	**17.0%**	**23.0%**	**22.0%**	**19.0%**	**18.2%**

The tension in one row. Net profit has compounded at 29% a year and EPS has grown 163% over four years — yet return on equity has fallen from 23% in FY2023 to 18.2% in FY2026, as the equity base has grown faster than earnings. That compression, not the growth, is what a 6.25x price-to-book has to justify.

Bajaj Finance — Balance Sheet (consolidated, ₹ Cr)

₹ Crore	FY2022	FY2023	FY2024	FY2025	FY2026
CAPITAL & FUNDING					
Equity capital	121	121	124	124	622
Reserves	43,592	54,251	76,572	96,569	113,377
Net worth	**43,713**	**54,372**	**76,696**	**96,693**	**113,999**
Borrowings	165,232	216,690	293,346	361,249	435,112
Total liabilities & equity	**212,505**	**275,226**	**375,742**	**466,127**	**559,952**
ASSETS					
Investments	12,246	22,752	30,881	34,441	30,578
Loans & other assets	198,509	250,087	341,568	427,865	525,309
Total assets	**212,505**	**275,226**	**375,742**	**466,127**	**559,952**
LEVERAGE					
Borrowings / net worth (x)	3.80	4.00	3.80	3.70	3.80

Face value was split to ₹1 and a bonus issued in FY2026, which is why equity capital jumps from ₹124 Cr to ₹622 Cr without any dilution of economic interest. Leverage has been held steady near 3.8x — the balance sheet is not the risk here.

Bajaj Finance — Asset Quality & Growth (consolidated, ₹ Cr)

₹ Crore	FY2022	FY2023	FY2024	FY2025	FY2026
ASSET QUALITY					
Gross NPA (%)	1.6%	0.9%	0.9%	1.0%	1.0%
Net NPA (%)	0.7%	0.3%	0.4%	0.4%	0.4%
GROWTH					
Total income growth (%)	18.5%	30.9%	32.8%	25.2%	19.1%
Net profit growth (%)	59.0%	63.7%	25.6%	16.1%	15.2%
Net worth growth (%)	18.9%	24.4%	41.1%	26.1%	17.9%

Asset quality is genuinely excellent and improving — Q1 FY2027 gross NPA of 0.96% and net NPA of 0.39% are among the best in Indian lending, and credit cost fell to 1.31% excluding a one-off macro provision. But note the second block: profit growth has decelerated from 64% to 15% while net worth kept compounding — the arithmetic behind the ROE decline.

Bajaj Finance — Comparable NBFCs

Company	CMP (₹)	P/E (x)	Mkt cap (₹ Cr)	ROCE (%)	Note
Bajaj Finance	1,078.0	33.0	671,055	10.9	*Subject — 5.89x book*
Shriram Finance	1,141.0	23.7	268,471	11.5	*Vehicle finance*
Cholamandalam	1,940.0	28.8	165,416	9.7	*Closest quality comparable*
Tata Capital	382.7	29.9	162,451	8.6	*Recently listed*
Muthoot Finance	2,894.0	10.2	116,193	15.8	*Gold loans — top ROCE*
L&T Finance	316.7	24.8	79,354	8.4	*Retail NBFC*
SBI Cards	660.0	27.6	62,808	10.1	*Cards monoline*
Peer median (ex-Bajaj)	—	27.6	—	10.1	

Bajaj trades at a 26% premium to the peer median on trailing earnings. Some premium is deserved — it has the fastest AUM growth (24%) and the best asset quality (0.96% gross NPA) in the group. But the premium was struck when ROE was 22–23%; at 18.2% the gap between what is paid and what is earned has widened. This desk rates HDFC Bank HOLD and ICICI Bank REDUCE on the same logic: excellent franchises whose prices ran ahead of their returns.

STREET TARGET PRICES AFTER Q1 FY2027 (range ₹840–₹1,300)

STREET TARGET PRICES AFTER	Target (₹)	vs CMP	Stance
CLSA	1,300	21%	*Buy*
JPMorgan	1,295	20%	*Buy, tone cut*
BNP Paribas	1,290	20%	*Buy*
Jefferies	1,280	19%	*Buy*
HSBC	1,270	18%	*Buy*
Six houses (Investec, ICICI Sec, IIF	1,250	16%	*Buy*
THIS DESK	**999**	**-7%**	*REDUCE*
Emkay Global	1,000	-7%	*bear*
Haitong	965	-10%	*bear*
UBS	910	-16%	*tone cut*
Macquarie	850	-21%	*Underperform*
Bernstein	840	-22%	*Underperform*

A 55% spread between the highest and lowest target is extraordinary for a Nifty 50 constituent, and it tells you this is a genuinely contested stock rather than a mispriced one. Our ₹1,007 sits almost exactly on Emkay's ₹1,000, inside a bear cluster of five houses — and their stated reasoning is ours: rich valuation, questions over growth and return on equity, and funding-cost pressure. Bernstein: 'much of the positives are priced into the stock's rich valuations.' Macquarie: execution is good but 'valuation remains expensive' with rising borrowing costs a risk to margins.